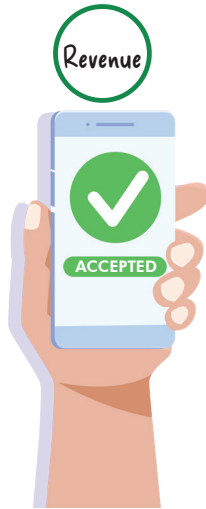


3. Revenue recognition - Sale of Services

Revenue from the sale of services includes:

- Fixed price contract
- Time and material contracts



When services are delivered



When services are rejected

It is recognized as a sale as and when the services are performed, and the buyer certifies it. So revenue is considered only when the client accepts the sale. Thus, when the company gets an order, it will not immediately be considered revenue. Only when it is executed will the company report it as revenue. Services performed but not certified by the buyer are treated as unbilled revenue. Incomplete services are recorded at cost as Work in Progress (WIP).

